Amazon.com, Inc.

AMZN NASDAQ

Buy	$244.13 ▼ 4.11%	12M Price Target $285.00	52-Week Range $196.00 – $287.20	Market Cap $2.63T

AMZN: Pre-Earnings Jitters Hit, But AWS Story Intact

WHAT HAPPENED

- AMZN dropped 4.1% on heavy volume (37M shares, well above average) heading into Thursday's earnings — this looks like pre-print de-risking rather than any specific bad news. When a stock runs from $248 to $254 in four days and then dumps the day before earnings, that's traders taking chips off the table, not a fundamental story breaking.
- Here's the tell: options flow is still bullish (put/call of 0.69, with unusual call buying at $240-247.50 strikes). Smart money is positioning for a bounce — they're using the dip to buy upside, not panic.

WHY IT MATTERS

This is a classic "sell the rumor" setup — AMZN rallied 2.6% into earnings and gave it all back plus more. What matters now is AWS growth; if it prints above 19% (consensus is ~18%), the stock snaps back fast because that validates the massive AI capex spend investors have been nervous about. The real tell will be capex guidance — Amazon's spending $100B+ this year on data centers, and the market wants to see that translating to cloud revenue, not just burning cash. If management signals AWS backlog is accelerating (think Anthropic deal economics flowing through), $270+ is on the table quickly; if they guide softer margins because capex is outrunning revenue, we revisit $230.

POLICY & POLITICAL WATCH

Two things to watch: (1) The FTC's monopoly case against Amazon is heading toward a 2027 trial — any pre-trial rulings on the scope of remedies could move the stock, but the Trump administration's FTC has been noticeably less aggressive on Big Tech breakups than Biden-era Khan. (2) Tariff policy is a real headwind — the current China tariff regime (plus the new Vietnam/Southeast Asia duties) directly hits Amazon's third-party sellers, which could pressure retail margins into holiday season. On the positive side, the administration's push for domestic AI infrastructure and data center buildout is a direct tailwind for AWS — expedited permitting for data centers is quietly one of the most bullish policy developments nobody's talking about.

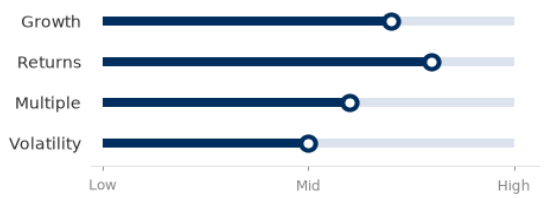
IS IT EXPENSIVE?

At $244, AMZN trades around 35x forward earnings — not cheap, but you're really paying for AWS, which if spun out would probably fetch 15x revenue on its own ($2T+ valuation). Strip out AWS and ads, and the retail business is basically free at these prices. Compared to MSFT at 32x and GOOGL at 22x, AMZN looks expensive on headline P/E but reasonable on sum-of-parts — the question is whether AWS growth re-accelerates to justify the premium.

Key Data

Price (USD)	**$244.13**
12M Price Target	**$285.00**
Upside / (Downside)	**+16.7%**
Market Cap	**$2.63T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$790M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**35.6x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



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AMZN — Amazon.com, Inc. | October 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$265.00**	$252.00	**$230.00**
6 Months	**$295.00**	$270.00	**$225.00**
1 Year	**$320.00**	$285.00	**$215.00**
2 Years	**$380.00**	$320.00	**$220.00**
5 Years	**$500.00**	$400.00	**$250.00**
10 Years	**$750.00**	$550.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+1.78%), Healthcare (+1.73%), Utilities (+1.42%) — this is a defensive rotation, classic "rates are going to come down and I want yield" positioning. Utilities specifically are riding the AI data center power demand story.

COOLING OFF: Mega-cap tech today — the fact that defensives led while AMZN dropped tells you money is rotating OUT of growth and INTO safety ahead of earnings week. Consumer Staples is -2.3% over 5 days, so this isn't full risk-off, more a tactical shuffle.

ROTATION WATCH: Money is moving defensive ahead of a huge earnings week (MSFT, META, GOOGL, AMZN, AAPL all reporting). Once prints land, expect the rotation to reverse quickly if numbers are good.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels names benefit regardless of which hyperscaler wins — think VRT (Vertiv) for data center cooling, or utility names like CEG that power the data centers Amazon is building.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Cloud growth re-accelerated last quarter and the market's rewarded them — they're the model for what investors want to see from AWS.
- META (Meta Platforms): Ad business firing on all cylinders, and investors have accepted the capex spend because engagement metrics keep climbing.

AMZN CONTEXT: AMZN has been lagging GOOGL and META in 2026 — stuck at 53% of its 52-week range while peers are breaking out. That's actually bullish setup if earnings deliver, because expectations are reset lower and the catch-up trade is powerful. If AWS surprises, AMZN is the mega-cap with the most room to run.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — High conviction on the long-term story, but earnings tomorrow is a binary event so I'm not pounding the table 24 hours before the print.

POSITION SIZE: 4-6% core position — this is a foundational mega-cap, not a trade. The optionality on AWS + ads + AI is too valuable to not own.

ENTRY POINTS: I'd nibble at $240-245 pre-earnings, then size up aggressively if we get a knee-jerk sell-off to $225-230 on anything less than a disaster print.

TIME HORIZON: 12-24 months — the catalyst is AWS re-acceleration proving the AI capex was worth it. That story plays out over the next 4 quarters.

WHEN TO BAIL: If AWS growth drops below 15% for two consecutive quarters, or if the FTC case takes a serious turn toward structural remedies (breakup), the thesis changes materially.

HEDGING: Simplest hedge is buying puts around earnings — spend 0.5% of your position value for downside protection through the print. Or pair-trade: long AMZN, short a weaker retailer like TGT to isolate the AWS/ads exposure.

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